Text 1

Reading Comprehension

Of all the changes that have taken place in English-language newspapers during the past quarter-century, perhaps the most far-reaching has been the inexorable decline in the scope and seriousness of their arts coverage.

It is difficult to the point of impossibility for the average reader under the age of forty to imagine a time when high-quality arts criticism could be found in most big-city newspapers. Yet a considerable number of the most significant collections of criticism published in the 20th century consisted in large part of newspaper reviews. To read such books today is to marvel at the fact that their learned contents were once deemed suitable for publication in general-circulation dailies.

We are even farther removed from the unfocused newspaper reviews published in England between the turn of the 20th century and the eve of World War II, at a time when newsprint was dirt-cheap and stylish arts criticism was considered an ornament to the publications in which it appeared. In those far-off days, it was taken for granted that the critics of major papers would write in detail and at length about the events they covered. Theirs was a serious business, and even those reviewers who wore their learning lightly, like George Bernard Shaw and Ernest Newman, could be trusted to know what they were about. These men believed in journalism as a calling, and were proud to be published in the daily press. "So few authors have brains enough or literary gift enough to keep their own end up in journalism," Newman wrote, "that I am tempted to define 'journalism' as 'a term of contempt applied by writers who are not read to writers who are'."

Unfortunately, these critics are virtually forgotten. Neville Cardus, who wrote for the Manchester Guardian from 1917 until shortly before his death in 1975, is now known solely as a writer of essays on the game of cricket. During his lifetime, though, he was also one of England's foremost classical-music critics, and a stylist so widely admired that his Autobiography (1947) became a best-seller. He was knighted in 1967, the first music critic to be so honored. Yet only one of his books is now in print, and his vast body of writings on music is unknown save to specialists.

Is there any chance that Cardus's criticism will enjoy a revival? The prospect seems remote. Journalistic tastes had changed long before his death, and postmodern readers have little use for the richly upholstered Vicwardian prose in which he specialized. Moreover, the amateur tradition in music criticism has been in headlong retreat.

Text 2

Reading Comprehension

Over the past decade, thousands of patents have been granted for what are called business methods. Amazon.com received one for its "one-click" online payment system. Merrill Lynch got legal protection for an asset allocation strategy. One inventor patented a technique for lifting a box.

Now the nation's top patent court appears completely ready to scale back on business-method patents, which have been controversial ever since they were first authorized 10 years ago. In a move that has intellectual-property lawyers abuzz, the U.S. Court of Appeals for the Federal Circuit said it would use a particular case to conduct a broad review of business-method patents. In re Bilski, as the case is known, is "a very big deal," says Dennis D. Crouch of the University of Missouri School of Law. It "has the potential to eliminate an entire class of patents."

Curbs on business-method claims would be a dramatic about-face, because it was the Federal Circuit itself that introduced such patents with its 1998 decision in the so-called State Street Bank case, approving a patent on a way of pooling mutual-fund assets. That ruling produced an explosion in business-method patent filings, initially by emerging Internet companies trying to stake out exclusive rights to specific types of online transactions. Later, more established companies raced to add such patents to their files, if only as a defensive move against rivals that might beat them to the punch. In 2005, IBM noted in a court filing that it had been issued more than 300 business-method patents, despite the fact that it questioned the legal basis for granting them. Similarly, some Wall Street investment firms armed themselves with patents for financial products, even as they took positions in court cases opposing the practice.

The Bilski case involves a claimed patent on a method for hedging risk in the energy market. The Federal Circuit issued an unusual order stating that the case would be heard by all 12 of the court's judges, rather than a typical panel of three, and that one issue it wants to evaluate is whether it should "reconsider" its State Street Bank ruling.

The Federal Circuit's action comes in the wake of a series of recent decisions by the Supreme Court that has narrowed the scope of protections for patent holders. Last April, for example, the justices signaled that too many patents were being upheld for "inventions" that are obvious. The judges on the Federal Circuit are "reacting to the anti-patent trend at the Supreme Court," says Harold C. Wegner, a patent attorney and professor at George Washington University Law School.

Text 3

Reading Comprehension

In his book The Tipping Point, Malcolm Gladwell argues that "social epidemics" are driven in large part by the actions of a tiny minority of special individuals, often called influentials, who are unusually informed, persuasive, or well connected. The idea is intuitively compelling, but it doesn't explain how ideas actually spread.

The supposed importance of influentials derives from a plausible-sounding but largely untested theory called the "two-step flow of communication": Information flows from the media to the influentials and from them to everyone else. Marketers have embraced the two-step flow because it suggests that if they can just find and influence the influentials, those select people will do most of the work for them. The theory also seems to explain the sudden and unexpected popularity of certain looks, brands, or neighborhoods. In many such cases, a cursory search for causes finds that some small group of people was wearing, promoting, or developing whatever it is before anyone else paid attention. Anecdotal evidence of this kind fits nicely with the idea that only certain special people can drive trends.

In their recent work, however, some researchers have come up with the finding that influentials have far less impact on social epidemics than is generally supposed. In fact, they don't seem to be required at all.

The researchers' argument stems from a simple observation about social influence: With the exception of a few celebrities like Oprah Winfrey — whose outsize presence is primarily a function of media, not interpersonal, influence — even the most influential members of a population simply don't interact with that many others. Yet it is precisely these non-celebrity influentials who, according to the two-step-flow theory, are supposed to drive social epidemics, by influencing their friends and colleagues directly. For a social epidemic to occur, however, each person so affected must then influence his or her own acquaintances, who must in turn influence theirs, and so on; and just how many others pay attention to each of these people has little to do with the initial influential. If people in the network just two degrees removed from the initial influential prove resistant, for example, the cascade of change won't propagate very far or affect many people.

Building on the basic truth about interpersonal influence, the researchers studied the dynamics of social influence by conducting thousands of computer simulations of populations, manipulating a number of variables relating to people's ability to influence others and their tendency to be influenced. They found that the principal requirement for what is called "global cascades" — the widespread propagation of influence through networks — is the presence not of a few influentials but, rather, of a critical mass of easily influenced people.

Text 4

Reading Comprehension

Bankers have been blaming themselves for their troubles in public. Behind the scenes, they have been taking aim at someone else: the accounting standard-setters. Their rules, moan the banks, have forced them to report enormous losses, and it's just not fair. These rules say they must value some assets at the price a third party would pay, not the price managers and regulators would like them to fetch.

Unfortunately, banks' lobbying now seems to be working. The details may be unknowable, but the independence of standard-setters, essential to the proper functioning of capital markets, is being compromised. And, unless banks carry toxic assets at prices that attract buyers, reviving the banking system will be difficult.

After a bruising encounter with Congress, America's Financial Accounting Standards Board (FASB) rushed through rule changes. These gave banks more freedom to use models to value illiquid assets and more flexibility in recognizing losses on long-term assets in their income statements. Bob Herz, the FASB's chairman, cried out against those who "question our motives." Yet bank shares rose and the changes enhance what one lobbying group politely calls "the use of judgment by management."

European ministers instantly demanded that the International Accounting Standards Board (IASB) do likewise. The IASB says it does not want to act without overall planning, but the pressure to fold when it completes its reconstruction of rules later this year is strong. Charlie McCreevy, a European commissioner, warned the IASB that it did "not live in a political vacuum" but "in the real world" and that Europe could yet develop different rules.

It was banks that were on the wrong planet, with accounts that vastly overvalued assets. Today they argue that market prices overstate losses, because they largely reflect the temporary illiquidity of markets, not the likely extent of bad debts. The truth will not be known for years. But banks' shares trade below their book value, suggesting that investors are skeptical. And dead markets partly reflect the paralysis of banks which will not sell assets for fear of booking losses, yet are reluctant to buy all those supposed bargains.

To get the system working again, losses must be recognized and dealt with. America's new plan to buy up toxic assets will not work unless banks mark assets to levels which buyers find attractive. Successful markets require independent and even combative standard-setters. The FASB and IASB have been exactly that, cleaning up rules on stock options and pensions, for example, against hostility from special interests. But by giving in to critics now they are inviting pressure to make more concessions.